

if the house is located in the depressed oil patch. The real estate agent never calls at midnight to announce: “You’ll have to come up with twenty thousand dollars by eleven A.M. tomorrow or else sell off two bedrooms,” which frequently happens to stockholders forced to sell their shares bought on margin. This is another great advantage to owning a house.)

Because of leverage, if you buy a \$100,000 house for 20 percent down and the value of the house increases by five percent a year, you are making a 25 percent return on your down payment, and the interest on the loan is tax-deductible. Do that well in the stock market and eventually you’d be worth more than Boone Pickens.

As a bonus you get a federal tax deduction on the local real estate tax on the house, plus the house is a perfect hedge against inflation and a great place to hide out during a recession, not to mention the roof over your head. Then at the end, if you decide to cash in your house, you can roll the proceeds into a fancier house to avoid paying taxes on your profit.

The customary progression in houses is as follows: You buy a small house (a starter house), then a medium-sized house, then a larger house that eventually you don’t need. After the children have moved away, then you sell the big house and revert to a smaller house, making a sizable profit in the transition. This windfall isn’t taxed, because the government in its compassion gives you a once-in-a-lifetime house windfall exemption. That never happens in stocks, which are taxed as frequently and as heavily as possible.

You can have a forty-year run in houses without paying taxes, culminating in the sweetheart exclusion. Or if there are any taxes to be paid, by now you are in a lower tax bracket, so they won’t be so bad.

The old Wall Street adage “Never invest in anything that eats or needs repairs” may apply to racehorses, but it’s malarkey when it comes to houses.

There are important secondary reasons you’ll do better in houses than in stocks. It’s not likely you’ll get scared out of your house by reading a headline in the Sunday real estate section: “Home Prices Take Dive.” They don’t publish the Friday afternoon closing market price of your home address in the classifieds, nor do they run it across the ticker tape at the bottom of your TV, and newscasters do not come on with lists of the ten most active houses—“100 Orchard Lane is down ten percent today. Neighbors saw nothing unusual to account for this unexpected decline.”

Houses, like stocks, are most likely to be profitable when they’re held for a long period of time. Unlike stocks, houses are likely to be owned by the same person for a number of years—seven, I think, is the average. Compare this to the 87 percent of all the stocks on the New York Stock Exchange that change hands every year. People get much more comfortable in their houses than they do in